Tax guide specifically for first-year US grad students with fellowships and stipends — Action Checklist

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IDENTIFY YOUR INCOME SOURCES

- ☐ **Identify Your Income Sources:** Pull out your funding offer letter and categorize each line item as Fellowship, Stipend, or Salary to determine how the IRS will treat each payment you receive.
- ☐ **Identify Your Income Sources:** Log into your university student portal and pull your 1098-T for the relevant tax year, then recognize it as a tuition statement that does not make your stipend income tax-free.
- ☐ **Identify Your Income Sources:** Check whether your university withheld FICA taxes from your RA/TA paycheck, because some schools treat a portion of this pay as a tuition waiver and you may owe self-employment tax on that portion.
- ☐ **Identify Your Income Sources:** Read your training grant documentation carefully if you have one, because NIH and NSF training grants have specific tax-exempt rules that differ from regular fellowships and stipends.

UNDERSTAND YOUR TAX OBLIGATIONS

- ☐ **Understand Your Tax Obligations:** Calculate your taxable stipend income by subtracting qualified tuition and required fees from your total fellowship award, since only the portion not used for education is taxable.
- ☐ **Understand Your Tax Obligations:** Look up your state's tax rates and rules for stipend income, because state taxes are the part that trips up most first-year grad students and some states tax fellowships differently than the federal government.
- ☐ **Understand Your Tax Obligations:** Determine whether you need to make quarterly estimated tax payments by checking if your university withheld income tax from your stipend, since most do not withhold automatically.
- ☐ **Understand Your Tax Obligations:** Research grad-student-specific deductions like student loan interest and the Lifetime Learning Credit, because you qualify for education credits even though your income is below typical filing thresholds.

PREPARE FOR TAX SEASON

- ☐ **Prepare for Tax Season:** Set aside a portion of each stipend payment for taxes, estimating 15-20% for federal and checking your specific state rate so you do not face a surprise bill at filing time.
- ☐ **Prepare for Tax Season:** Mark your calendar for the quarterly estimated tax payment deadlines of April 15, June 15, September 15, and January 15 to avoid underpayment penalties if you owe self-employment or additional tax.
- ☐ **Prepare for Tax Season:** Keep records of all educational expenses your fellowship or stipend was intended to cover, including tuition, required fees, and course materials that may reduce your taxable income.
- ☐ **Prepare for Tax Season:** Create a separate savings account for tax money and automate a transfer of 20-25% of each stipend payment into it so the funds are available when your tax bill is due.